

etc., rely heavily on technology. So, there's a potential risk of technical glitches that could impact one's ability to access funds or execute trades. The high number of investors, which is only increasing every day, and the high volumes of transactions strain these systems, making technical glitches more likely.

But it is also critical for investors to exercise caution and keep their eye on investments. Mohit Gang, CEO and Co-founder of investment platform Moneyfront, says, "A few years ago, there was no concept of direct transfer of funds to asset management companies (AMCs) for purchasing MFs." Some platforms used to collect money in their pool accounts and then match orders with payments at the end of the day. In such cases, Gang says, it was possible for funds to miss out on payments. "However, this practice has stopped, and funds are now transferred directly to AMCs via the exchange mechanism."

Caution is also warranted because India's start-up landscape is very dynamic and funding rounds have been fast. So identifying genuine apps has become trickier. One may not understand which app is good and will serve them well in the long term.

Besides, data breaches at investing apps can potentially expose personal details like names, addresses, accounts, PAN, and Aadhaar. That information is gold for identity thieves who can use it to open accounts in your name, rack up debt, or even obtain fraudulent loans. Recovering from identity theft can be frustrating.

Like other web-based platforms, EOPs are susceptible to cyberattacks, too. If your EOP login credentials or account details are exposed, hackers might attempt unauthorised transactions or even try to drain funds.

Apart from cyberattacks, Renu Maheshwari, a registered investment advisor and Co-founder of investment advisory firm Finscholarz, says, "Another real worry is gamification [of the apps] and getting into the wrong products. The proliferation of derivatives trading amongst youngsters is one such issue."

TREAD WITH CAUTION

When picking an EOP, it is important for investors to consider this question: does the app prioritise certain investment options or incentivise frequent trading through features like gamification? How can one ensure one is making an informed decision and not getting influenced by the app's design? "All online apps are designed to be addictive. This behaviour is dangerous, especially for youngsters," says Maheshwari.

The investment advisor adds that even though these apps are good tools to bring capital markets to one's fingertips, they can induce financially dangerous behaviour. "Investor behaviour can be as dangerous as

THE RISKS



TECHNICAL ISSUES, PLATFORM ERRORS: EOPs are reliant on technology, and so there's a greater potential risk of technical glitches or platform errors



FRAUDULENT ACTIVITY: While app regulations aim to mitigate risk, there's always a possibility of fraudulent activity on any online platform

STAY ALERT



EOP CATEGORY MATTERS: There might be different regulations for EOP categories (EOP1 and EOP2). Understanding the category can help you grasp the level of investor protection offered



EMERGING REGULATIONS: EOP is a relatively new concept, and regulations might still be evolving in this space. Stay informed about any updates that could impact your safeguards

the underlying product," she says. Maheshwari highlights the recent increase in derivative trades by retail investors. Of course, derivatives are a good hedge but could turn out to be a problem, she says. "A good understanding of all the products is a good place to start. If that is not possible, then one should act under the guidance of a fiduciary advisor."

However, Parth Nyati, Founder of stock trading platform Tradingo, has a different viewpoint on gamification. He says all platforms have to go through a functionality approval process from stock exchanges. "No broker can launch any platform without this approval process. Any kind of gamification is not allowed. The apps showcase market data, and some apps also give recommendations. However, it is the investor's choice to decide where to invest."

FRAMEWORK FOR EOPs

Aware of the growing challenges that the increase in trading, especially through apps, has thrown up, markets regulator Securities and Exchange Board of India (Sebi) has attempted to set down some rules. In June 2023, it introduced a framework for EOPs to protect investors, promote industry growth and competition, and regulate costs. Gang of Moneyfront believes that even though Sebi oversees everything on a daily basis,